

recognizers. If you ask a computer scientist what people can do very readily that computers have a tough time doing, the answer will be pattern recognition. You or I could recognize any of thousands of faces instantly. You won't remember all their names, but if you've seen a face before, you'll recognize it. Computers have a very difficult time with pattern recognition. The human brain is itself a very good computer, programmed to perform functions like that. It was damned important to know if that rustle ahead was the wind or a leopard, or if those three men in uniform coming toward you were from your army or theirs.

Beware of False Metaphors

When you stop to think about it, all investing rests on metaphors. Your broker calls you and says, "This is Murray. I've got a stock here that's going to be the next Intel." That's a metaphor. Metaphors are ways of finding common patterns between dissimilar things.

Since they are dissimilar, metaphors and similes require us to consider the degrees of likeness and unlikeness between the things compared. A classic example is "My love is like a red, red rose." That doesn't exactly fit the reality. Your girl is very beautiful, and you love to look at her, but you probably don't mean that she's short, thorny, and lives in your garden.

As essential as metaphors are for investors, therefore, they require critical analysis. In December 1994 the Mexican peso collapsed. The Mexican economy reeled. The Mexican stock market tanked. ("Collapsed," "reeled," and "tanked" are all metaphors, if that's of any interest.)